

Do's and Don'ts of Market Crashes

EVERY FEW QUARTERS, we find ourselves running through the same muster drill. Something happens somewhere in the world, and the markets go a little wild. They sell off a dozen percent or so. The usual suspects panic. Eventually, things stabilize, and everyone wonders what the hell just happened. Post-mortem explanations come along that seem reasonable (after the fact, of course, never before).

Lather, rinse, repeat.

The phones ring with reporters wanting a comment on the volatility. “What’s going on in the markets?” they say. My response is always the same: “You won’t like my answer: This is what markets do—they go up and down, sometimes violently.”

“Thank you,” they say as they hurriedly hang up.

I can do the drill in my sleep.

End of 2015? China down 15%, and Europe off the same. Fourth quarter of 2018? S&P 500 off ~20%. Q1 2020? S&P 500 down 34%. 2022, stock markets off 20%, Nasdaq down over 30%, and the bond market off 15%! Summer 2024, Japan falls 9% in two days!

Any given week can have a surprise in store, which then cascades around the world. It’s almost as if this is a pattern, a normal part of markets!

My colleague Callie Cox has run the numbers.^{[346](#)}

On a typical day, the market swings ~0.5%. In fact, Callie observes, “the S&P 500 has gained or lost less than 0.5% on 53% of trading days.” Plus or minus 1% days occur about 20% of the time. That averages out to once a week, but “it isn’t a predictable, once-every-five-days type deal.” Drawdowns of 5–10% happen more than you might realize—there have been 57 sell-offs of that size since 1950 (that’s two out of every three years). There have been 23 sell-offs of more than 10% and less than 20%